Type MS · Calculating the provision for irrecoverable debts

Answer 1 of 9 · Question 13 part b · 3 marks

2024 JUN · Paper 01 · find part b in this mark scheme extract

Question Number	Answer	Mark
13 (a)	**Award marks as indicated for correct account and amount in combination.**	**(2)**

Date 2024	Account	Debit	Credit
March 31	Irrecoverable debts	450 **(1)**	
	Trade receivables ledger control account		450 **(1)**

Question Number	Answer	Mark
13 (b)	**Award marks as indicated** $73 **(2)** Decrease **(1)** $55 **(1)** Decrease **(1)** Decrease **(1)**	**(3)**

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Calculating the provision for irrecoverable debts

Answer 2 of 9 · Question 13 part a · 1 mark

2019 JUN · Paper 01 · find part a in this mark scheme extract

13(a)	**Award 1 mark as indicated.** $1 500 **(1)**	**(1)**

Question number	Answer AO2(4)	Mark
13(b)	**Award 1 mark for correct date, details and amounts in combination.**	(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$
31 March 2019	Balance c/d	1 500	1 April 2018	Balance b/d	1 250 **(1)**
			31 March 2019	Income statement	250 **(1of)**
		1 500			1 500
			1 April 2019	Balance b/d	1 500 **(2/1of)**

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Calculating the provision for irrecoverable debts

Answer 3 of 9 · Question 13 part a · 2 marks

2020 JAN · Paper 01 · find part a in this mark scheme extract

13 (a)	**Award marks as indicated.** $938 **(2) W** **W** $\$$ Trade receivables 23 620 Irrecoverable debt (170) 23 450 **(1)** x 4% = $938 **(1of)**	**(2)**

Question number	Answer	Mark

13 (b)

Award marks for each correct date, detail and amount in combination on the correct side.

Irrecoverable Debts Account

Date	Details	$	Date	Details	$
2019 Oct 31	Income statement	27 **(1of)**	2018 Nov 1	Balance b/d	965 **(1)**
31	Balance c/d	938			
		965			965
			2019 Nov 1	Balance b/d	938 **(1of)**

(3)

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Calculating the provision for irrecoverable debts

Answer 4 of 9 · Question 13 part b · 2 marks

2020 NOV · Paper 01 (regional R) · find part b in this mark scheme extract

Question Number	Answer	Mark
13 (a)	**Award 1 mark for each correct entry.** **Award 1 mark for correct narrative.** **Journal** **Date** / **Details** / **Debit $** / **Credit $** 30 April 2020 / Irrecoverable debts / 1 600 **(1)** / / Trade receivables ledger control account / / 1 600 **(1)** / Being the write-off of an irrecoverable debt **(1)**	**(3)**

Question Number	Answer	Mark
13 (b)	**Award marks as indicated** $56 600 **(1)** x 5% = $2 830 **(1of)**	**(2)**

Type MS · Calculating the provision for irrecoverable debts

Answer 5 of 9 · Question 17 part c · 2 marks

2020 NOV · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
17 (a)	**Award marks as indicated.** **Account** / **Debit** / **Credit** Trade receivables control — ✓ **(1)** (Credit) Irrecoverable debts — ✓ **(1)** (Debit)	**(2)**

Question Number	Answer	Mark
17 (b)	**Award marks as indicated.** Prudence **(1)** Accruals or matching **(1)**	**(2)**

Type MS · Calculating the provision for irrecoverable debts

Answer 5 of 9 · Question 17 part c · 2 marks

2020 NOV · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
17 (c)	**Award marks as indicated.** **$** Net trade receivables 42 140 **(1)** X 5% Provision at 29 February 2020 2 107 **(1of)**	**(2)**

Question Number	Answer	Mark
17 (d)	**Award 1 mark for figures plus 1 mark for correct dates and details.** **Provision for Irrecoverable Debts Account**	**(4)**

Date	Details	$	Date	Details	$
2020 Feb 29	Balance c/d	2 107	2019 Mar 1	Balance b/d	1 845 **(1)**
			2020 Feb 29	Income statement	262 **(1of)**
		2 107			2 107
			Mar 1	Balance b/d	2 107 **(1of)**

Question Number	Answer	Mark
17 (e)	**Award up to 4 marks for comments related to the reasons why it is necessary for a business to create a provision for irrecoverable debts and 1 mark for conclusion.** **For example** A business should create a provision because some amounts owing will not be received **(1)**. The effect of this will be to overstate profit for the year and trade receivables in the financial statements **(1).** This enables a business to make informed decisions **(1)** by anticipating possible future losses as soon as they become aware of them **(1).** Overall, the business will benefit from the introduction of this provision **(1).** **Accept any other appropriate responses.**	**(5)**

Type MS · Calculating the provision for irrecoverable debts

Answer 6 of 9 · Question 12 part b · 2 marks

2021 NOV · Paper 01 · find part b in this mark scheme extract

12(a)	**Award marks as indicated for correct account and amount in combination.** **Date** / **Account** / **Debit $** / **Credit $** 30/09/20 / Irrecoverable debts / 730 **(1)** / / Trade receivables ledger control / / 730 **(1)**	**(2)**

Question number	Answer	Mark
12(b)	**Award marks as indicated.** $311 **(2) W** **W** $1 946 **(1)** – $1 635 = $311 **(1of)**	**(2)**

Question number	Answer	Mark
12(c)	**Award mark as indicated.** Current assets **(1)**	**(1)**

TOTAL FOR QUESTION 12 = 5 MARKS

Type MS · Calculating the provision for irrecoverable debts

Answer 7 of 9 · Question 18 part b · 1 mark

2023 JUN · Paper 01 · extract 1 of 3 · find part b in this mark scheme extract

18(a)	**Award marks as indicated.** An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
18(b)	**Award mark as indicated.** 4% **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $20 750 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $830 **(1of)**	**(1)**

Type MS · Calculating the provision for irrecoverable debts

Answer 7 of 9 · Question 18 part b · 1 mark

2023 JUN · Paper 01 · extract 2 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
18(c)(iii)	**Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.** **Provision for Irrecoverable Debts Account** **Date** / **Details** / **$** / **Date** / **Details** / **$** 30 April / Balance c/d / 830 / 1 May / Balance b/d / 744 **(1)** / / / 30 April / Income statement **(1)** / 86 **(1)** / / 830 / / / 830 / / / 1 May / Balance b/d / 830 **(1of)**	**(4)**

Question Number	Answer	Mark
18(d)	**Award marks as indicated.** **Account** / **Non-current assets** / **Current assets** / **Non-current liabilities** / **Current liabilities** Provision for depreciation / ✓ **(1)** / / / Provision for irrecoverable debts / / ✓ **(1)** / /	**(2)**

Question Number	Answer	Mark
18(e)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** Prudence concept states profits/assets should not be overstated **(1)** Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)** **Accept any other appropriate responses.**	**(3)**

Type MS · Calculating the provision for irrecoverable debts

Answer 7 of 9 · Question 18 part b · 1 mark

2023 JUN · Paper 01 · extract 3 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
18(f)	**Award mark as indicated. Max 1 mark.** Cash sales only **(1)** Strict credit control **(1)** **Accept any other appropriate response.**	**(1)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Calculating the provision for irrecoverable debts

Answer 8 of 9 · Question 18 part c.i · 1 mark

2023 JUN · Paper 01 · extract 1 of 3 · find part c.i in this mark scheme extract

Number		
18(a)	**Award marks as indicated.** An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
18(b)	**Award mark as indicated.** 4% **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $20 750 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $830 **(1of)**	**(1)**

Type MS · Calculating the provision for irrecoverable debts

Answer 8 of 9 · Question 18 part c.i · 1 mark

2023 JUN · Paper 01 · extract 2 of 3 · find part c.i in this mark scheme extract

Question Number	Answer	Mark
18(c)(iii)	**Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.** **Provision for Irrecoverable Debts Account** **Date** / **Details** / **$** / **Date** / **Details** / **$** 30 April / Balance c/d / 830 / 1 May / Balance b/d / 744 **(1)** / / / 30 April / Income statement **(1)** / 86 **(1)** / / 830 / / / 830 / / / 1 May / Balance b/d / 830 **(1of)**	**(4)**

Question Number	Answer	Mark
18(d)	**Award marks as indicated.** **Account** / **Non-current assets** / **Current assets** / **Non-current liabilities** / **Current liabilities** Provision for depreciation / ✓ **(1)** / / / Provision for irrecoverable debts / / ✓ **(1)** / /	**(2)**

Question Number	Answer	Mark
18(e)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** Prudence concept states profits/assets should not be overstated **(1)** Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)** **Accept any other appropriate responses.**	**(3)**

Type MS · Calculating the provision for irrecoverable debts

Answer 8 of 9 · Question 18 part c.i · 1 mark

2023 JUN · Paper 01 · extract 3 of 3 · find part c.i in this mark scheme extract

Question Number	Answer	Mark
18(f)	**Award mark as indicated. Max 1 mark.** Cash sales only **(1)** Strict credit control **(1)** **Accept any other appropriate response.**	**(1)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Calculating the provision for irrecoverable debts

Answer 9 of 9 · Question 18 part c.ii · 1 mark

2023 JUN · Paper 01 · extract 1 of 3 · find part c.ii in this mark scheme extract

18(a)	**Award marks as indicated.** An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
18(b)	**Award mark as indicated.** 4% **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $20 750 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $830 **(1of)**	**(1)**

Type MS · Calculating the provision for irrecoverable debts

Answer 9 of 9 · Question 18 part c.ii · 1 mark

2023 JUN · Paper 01 · extract 2 of 3 · find part c.ii in this mark scheme extract

Question Number	Answer	Mark
18(c)(iii)	**Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.** **Provision for Irrecoverable Debts Account** **Date** / **Details** / **$** / **Date** / **Details** / **$** 30 April / Balance c/d / 830 / 1 May / Balance b/d / 744 **(1)** / / / 30 April / Income statement **(1)** / 86 **(1)** / / 830 / / / 830 / / / 1 May / Balance b/d / 830 **(1of)**	**(4)**

Question Number	Answer	Mark
18(d)	**Award marks as indicated.** **Account** / **Non-current assets** / **Current assets** / **Non-current liabilities** / **Current liabilities** Provision for depreciation / ✓ **(1)** / / / Provision for irrecoverable debts / / ✓ **(1)** / /	**(2)**

Question Number	Answer	Mark
18(e)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** Prudence concept states profits/assets should not be overstated **(1)** Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)** **Accept any other appropriate responses.**	**(3)**

Type MS · Calculating the provision for irrecoverable debts

Answer 9 of 9 · Question 18 part c.ii · 1 mark

2023 JUN · Paper 01 · extract 3 of 3 · find part c.ii in this mark scheme extract

Question Number	Answer	Mark
18(f)	**Award mark as indicated. Max 1 mark.** Cash sales only **(1)** Strict credit control **(1)** **Accept any other appropriate response.**	**(1)**

TOTAL FOR QUESTION 18 = 15 MARKS